GCE AS

WJEC/EDUQAS

B520U20-1 (Practice Paper 3 - Hard)

ECONOMICS – AS component 2

Exploring Economic Issues

2 hours

ADDITIONAL MATERIALS

In addition to this examination paper, you will need a calculator and a WJEC pink 16-page answer booklet.

INSTRUCTIONS TO CANDIDATES

Use black ink or black ball-point pen.
You may use a pencil for graphs and diagrams only.
Answer **all** questions.
Write your answers in the separate answer booklet provided.

INFORMATION FOR CANDIDATES

The number of marks is given in brackets at the end of each question or part-question.
You are reminded of the necessity for good English and orderly presentation in your answers.

Answer **all** questions.

1. The UK Productivity Puzzle

Since the 2008 Great Recession, the UK has experienced a sustained slowdown in labour productivity growth, often described as the 'UK productivity puzzle'. Between 1997 and 2007, UK labour productivity (output per hour worked) grew by 2.3% per year. Between 2008 and 2024, growth has averaged just 0.5% per year — the worst performance since the Industrial Revolution. UK output per hour worked is now around 16% below the average of the other G7 advanced economies (France, Germany, USA, Canada, Japan, Italy).

Economists have proposed many explanations: under-investment in physical and human capital, weak management practices, skills shortages worsened by Brexit, regional inequalities, low business investment in R&D;, and a long 'tail' of low-productivity firms. Government policy responses have included the Apprenticeship Levy (a tax on large employers used to fund training), the British Business Bank for SME investment, regional 'levelling up' funds, and a major upgrade to High Speed Rail 2 (HS2) infrastructure. Critics argue that policy has been incoherent and that infrastructure spending has been poorly targeted, with major projects such as HS2 facing cost overruns of over 200% and route cancellations.

Figure 1: UK Output per Hour (Index, 2007 = 100) vs Pre-2007 Trend

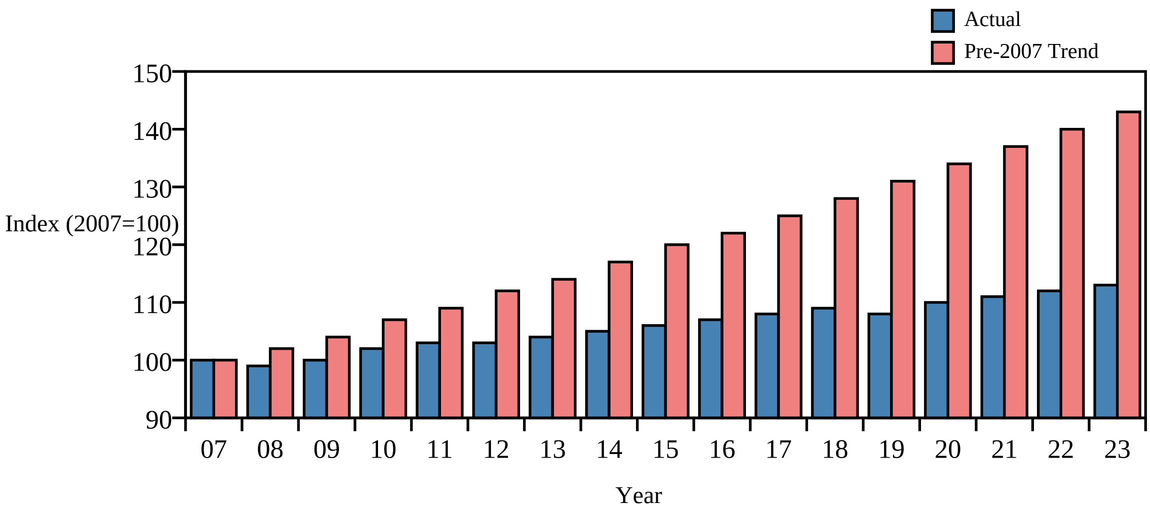


Table 1: Estimated impacts of UK productivity-enhancing investment (HS2 + Levelling Up Fund)

	Estimated Impact
Total announced public investment (HS2 + Levelling Up Fund)	£127bn
Estimated net economic benefit / GVA (over 60 years)	£88bn (revised down)
Direct construction jobs supported	34,000
Indirect supply chain jobs supported	53,000
Contracts awarded to UK firms	95%
Suppliers that are SMEs	60%
Estimated reduction in journey time (London–Manchester)	32 minutes
Cost overrun on HS2 vs original budget (2013)	+220%

Source: Adapted from National Audit Office, ONS and Department for Transport

Some economists argue that the most effective response to weak productivity is demand-side policy — looser monetary policy and infrastructure spending — to encourage capital deepening. Others argue that the UK's productivity gap is structural, reflecting deep weaknesses in management quality, technical education and innovation. They favour supply-side reform: tax reliefs for R&D;, deregulation of planning, and reform of vocational qualifications such as T-levels. Increased use of road pricing (such as congestion charges in Birmingham and Manchester) has been proposed as a way to address transport-related market failures and free up resources for productive use.

(a) Using a diagram, outline the likely impact of mass automation on the wages of low-skilled UK workers. **[4]**

(b) Discuss the likely cross elasticity of demand between robotic capital equipment and unskilled labour. **[6]**

(c) Using **Table 1**, explain how UK productivity-enhancing investment can lead to the benefits of the multiplier effect. **[6]**

(d) Evaluate whether supply-side reforms are better than demand-side stimulus to address the UK productivity puzzle and reduce market failure. **[10]**

(e) (i) Define the term 'government failure' and explain why major UK infrastructure projects such as HS2 could be considered an example of government failure. **[4]**

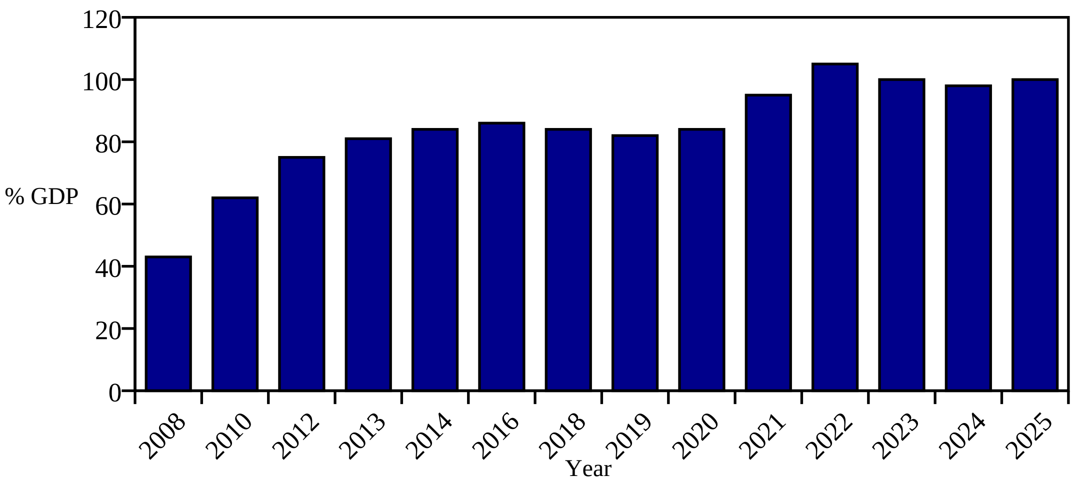
(ii) Using the data, assess the extent to which the UK's productivity-enhancing investment programme would be positive for the short run and long run macroeconomic performance of the UK. **[10]**

2. Funding the NHS

Since 2010, real-terms NHS funding has grown at 1.4% per year, the slowest sustained rate in NHS history, while demand for healthcare has risen sharply due to an ageing population, higher chronic disease prevalence and the long-term effects of COVID-19. In 2024, the NHS waiting list reached 7.5 million people, the highest on record. To respond, the UK government considered several major policy options for the next parliament.

Following the 2020 COVID-19 pandemic, the Bank of England slashed interest rates to 0.1% and launched additional quantitative easing of £450bn. The Treasury introduced a temporary reduction in the ad valorem tax of VAT (from 20% to 5%) for the hospitality sector. With UK public sector net debt reaching 100% of GDP in 2024 — the highest ratio since the 1960s — financing additional NHS spending requires politically difficult choices.

Figure 1: UK Public Sector Net Debt as % of GDP (2008–2024)



The proposed funding measures included:

• A **National Insurance increase** of 1.25 percentage points across employees and employers (the 'Health and Social Care Levy') to raise £12bn per year.
• A **capital investment programme** of £36bn over five years for new hospitals, equipment and IT modernisation.
• **Workforce training**: doubling medical school places (from 7,500 to 15,000 per year) by 2031 to reduce reliance on overseas-trained doctors.
• **Pharmaceutical R&D; tax credits**: enhanced relief for life sciences firms operating in the UK, supporting the wider economy through positive spillovers.

Table 1: Proposed UK tax changes to fund the NHS

Tax measure	Details
National Insurance	Increase to 13.25% from 12% for employees; estimated revenue: £12bn/year
Capital Gains Tax	Align rates with income tax (top rate 45%) instead of current 20%/28%; estimated £14bn/year
Online Sales Tax	New 2% tax on online retail revenues to support high streets; estimated £3bn/year
Removal of ISA cap	Cap tax-free ISA allowance at £20,000 lifetime instead of annual; estimated £2bn/year
Frozen tax thresholds	Personal allowance frozen at £12,570 for six years instead of indexing to inflation ("fiscal drag")

Critics warn that the NI increase falls disproportionately on low and middle-income workers (regressive). Aligning CGT with income tax is opposed by entrepreneurs and may discourage business investment.

Frozen tax thresholds raise revenue silently (fiscal drag) but do so regressively as inflation pushes low-earners into higher tax brackets. Some commentators argue that increased social care funding and improved free childcare provision would be more effective at reducing income inequality than more spending on hospitals.

(a) (i) Using a PPF diagram, illustrate the impact of an ageing population on an economy that produces healthcare services and consumer goods. **[2]**

(ii) Using an AD/AS diagram, explain how expansionary monetary policy can be used to stimulate economic growth following the COVID-19 recession. **[6]**

(b) Using the data, describe how the proposed NHS capital investment programme and pharmaceutical R&D; tax credits could

(i) decrease negative externalities **[4]**

(ii) increase positive externalities **[4]**

(c) Using a demand and supply diagram, consider who benefits the most from a decrease in ad valorem VAT on hospitality (line 9), the consumer or the firms? **[7]**

(d) Using the data from **Table 1**, discuss whether the proposed UK tax changes are a good way to raise government revenue. **[9]**

(e) Using the data, discuss whether expanding social care funding or providing free childcare is the best way to reduce income inequality in the UK. **[8]**

END OF PAPER